the critical importance during crisis times of coordination among the regulators, with the government in the driving seat. This was the standard practice in virtually every country during the crisis and India was no exception. But did we need to set up a permanent body like the FSDC? Wouldn't existing mechanisms have been sufficient to take care of financial stability during 'peace' times? Would the proposed FSDC do more harm than good?

I must admit that I had greater reservations about the institutionalization of the coordination mechanism for financial stability under the FSDC umbrella than on the dispute resolution committee envisaged under the ULIP legislation, mainly because it can make the government's transgression into regulatory autonomy appear seamless and even justified. We already had in existence a High Level Coordination Committee on Financial Markets (HLCCFM) under the chairmanship of the governor and comprising all the financial sector regulators and the secretaries of economic affairs and of financial services from the government. The HLCCFM was meeting regularly to coordinate on regulatory issues. The mandate of this committee could easily have been redefined to explicitly include financial stability. The government's concerns on financial stability could be pursued by the two secretaries who were members of the committee. On the other hand, under the proposed FSDC structure, with the finance minister in the chair, there is the risk of financial stability issues transgressing into the domain of monetary and regulatory policies.

On the FSDC issue too, like on the ULIP issue earlier, Pranab Mukherjee was broad-minded and gracious. He invited me for a meeting where we exchanged views and discussed possible safeguards against the FSDC encroaching into regulatory autonomy. He did not concede the main issue but held out several assurances—that there would be a subcommittee of the FSDC under the chairmanship of the governor which would be more active and meet more frequently; the FSDC itself would play an active role during crisis times only. He recalled that during the Parliament discussion on the ULIP ordinance, he held out an assurance that the government would not